11. Income taxes

The provision for income taxes is as follows:

	2002	2001	2000
Federal:			
Current	$ 2,579	$ 3,855	$ 3,551
Current foreign	1,000	—	2,288
Deferred	(135)	799	787
State:			
Current	945	857	734
Deferred	34	51	74
	$ 4,423	$ 5,562	$ 7,434

The Company's income tax provision reconciles to the provision at the statutory U.S. federal income tax rate as follows:

	2002	2001	2000
Tax provision at statutory U.S. federal income tax rate	$ 6,198	$ 4,559	$ 5,489
Write-off of insurance claim receivable	(3,740)	—	—
State income tax, net of federal income tax benefit	646	590	525
Foreign taxes deducted, net of federal income tax benefit	660	—	1,487
Interest expense, net of federal income tax benefit	577	—	—
Non-deductible goodwill amortization	—	509	—
Other	82	(96)	(67)
Income tax provision	$ 4,423	$ 5,562	$ 7,434

In 2002, the Company received a tax deduction for the write-off of the tax basis of an insurance claim receivable of $11,000 related to litigation settlement payments made in 1997. For book purposes, the insurance reimbursement had been assigned to the Company's former owner as part of its recapitalization in 1998 and, therefore, had no book basis.

For the year ended December 31, 2002, the Company's income tax provision includes interest expense of $875 on estimated additional federal income tax for the years 1995 to 2000 arising from a reduction in actual tax payments made to foreign tax authorities versus amounts previously reported in the Company's U.S. federal tax returns for those years. This reallocation of tax liabilities from foreign to domestic is expected to ultimately result in a net tax benefit to the Company of an amount approximating the interest incurred.

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The deferred tax assets (liabilities) are as follows:

	2002	2001
Gross deferred tax assets:		
Accrued liabilities	$ 4,793	$ 4,361
Gross deferred tax liabilities:		
Depreciation	(44,214)	(43,927)
Other	(3,074)	(3,072)
	(47,288)	(46,999)
Total net deferred tax liabilities	$ (42,495)	$ (42,638)
As reported in the balance sheet:		
Net current deferred tax assets (included in other current assets)	$ 3,868	$ 2,955
Net non-current deferred tax liabilities	(46,363)	(45,593)
Total net deferred tax liabilities	$ (42,495)	$ (42,638)